

OTHER COSTING METHODS

There are several different approaches to costing and pricing depending on the industry, the type and size of the business, and the method of production.

JOB COSTING

Used for a customized order made to a client's specifications—for example, a printing company that prints brochures for a client



BATCH COSTING

Used when a batch of identical products is made—for example, an electrical goods company manufacturing television sets



CONTRACT COSTING

Used for a large one-time job, often the result of a tender process (when a company bids for work) and carried out at the client's site—for example, a construction company building homes in a new residential development



PROCESS COSTING

Used for an ongoing job that often involves several manufacturing processes, making it difficult to isolate individual unit costs—for example, an oil refinery which processes crude oil into diesel oil



SERVICE COSTING

Used when the product being sold is a standard service offered to customers—for example, a nail salon offering an express manicure and pedicure within a set period of time and for a fixed price



Profit margin

- › Must be able to generate profit for the company
- › Must be in line with how the product has been marketed
- › Must be pitched realistically so that customers will buy



Selling price

- › Low: in order to gain market share, or to match competitors
- › Cost-based: recover direct and indirect costs and profit margin that the market will accept
- › Service-based: flexible since no manufacturing or distribution cost

